

## 1. The Core Process: S-T-P

The lecture outlines a clear, logical process for marketing. The order is crucial:

1. **Segmentation:** Dividing the market into distinct groups.
2. **Targeting:** Selecting which of those groups to go after.
3. **Positioning:** Creating a clear identity and image in the minds of your chosen target.

A whiteboard image (Page 25) explicitly shows this flow: **Segmentation  $\rightarrow$  Targeting  $\rightarrow$  Positioning**.

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## 2. Market Segmentation

### Definition:

- Market segmentation is the **identification of subsets of buyers** within a market<sup>1</sup>.
- A "segment" is a group that **shares similar needs** and demonstrates **similar buyer behavior**<sup>2</sup>.

The 4 Bases of Segmentation:

This is a critical concept. You must know the 4 types and what variables belong to each.

1. **Geographic:** Grouping by location.
  - **Variables:** Region<sup>3</sup>, Urban/Rural<sup>4</sup>, Customer location<sup>5</sup>.
  - *Example:* Targeting customers in "Urban centers and smaller towns"<sup>6</sup>.
2. **Demographic:** Grouping by measurable, objective characteristics<sup>7</sup>.
  - **Variables:** Age, Gender<sup>8</sup>, Occupation<sup>9</sup>, Socio-economic group<sup>10</sup>.
  - *Example:* Targeting "Individuals between 18 and 45" with high income<sup>11</sup>.
3. **Psychographic:** Grouping by lifestyle, values, and internal traits<sup>12</sup>.

- **Variables:** Beliefs <sup>13</sup>, Lifestyles <sup>14</sup>, Attitudes <sup>15</sup>, Class <sup>16</sup>, Personality<sup>17</sup>.
- *Example:* Targeting those who are "Financially stable and risk-averse"<sup>18</sup>.

4. **Behavioral:** Grouping by actions and relationship with the product<sup>19</sup>.

- **Variables:** Rate of usage, Benefits sought, Loyalty status, Readiness to purchase<sup>20</sup>.
- *Example:* Targeting "Loyal customers with a strong inclination for premium experiences"<sup>21</sup>.

Criteria for Useful Segmentation:

For a segment to be worth targeting, it must be:

- **Viable** <sup>22</sup>
- **Accessible** <sup>23</sup>
- **Measurable** <sup>24</sup>

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### 3. Targeting

**Definition:**

- Targeting involves **focusing on specific segments** for "efficient resource allocation"<sup>25</sup>. It's the step that comes *after* segmentation<sup>26</sup>.

Targeting Strategies:

This table is perfect for MCQs (e.g., "Rolex is an example of which targeting strategy?").

| Strategy                                    | Definition                                   | Example                 |
|---------------------------------------------|----------------------------------------------|-------------------------|
| <b>Mass Marketing</b><br>(Undifferentiated) | Same product & message for <b>everyone</b> . | Coca-Cola               |
| <b>Segmented Marketing</b>                  | <b>Different products</b> for                | Nike (Running shoes vs. |

|                        |                                                      |                            |
|------------------------|------------------------------------------------------|----------------------------|
| (Differentiated)       | <b>different segments.</b>                           | Training shoes)            |
| <b>Niche Marketing</b> | Targeting a <b>small, specific</b> audience.         | Rolex (luxury watches)     |
| <b>Micromarketing</b>  | <b>Hyper-personalized</b> marketing for individuals. | Spotify (custom playlists) |

## 4. Market Positioning

### Definition:

- Positioning is about creating a "**clear, distinctive and desirable place**" for your product in the **consumer's mind**, especially relative to your competitors<sup>29</sup>.
- It's the "**1st Thing that comes into the mind**" of the customer for a specific activity (e.g., "when he is sleepy")<sup>30</sup>.
- The whiteboard notes (Page 25) add that positioning is:
  - "defined by the customer"
  - the "image of the brand"
  - the "customer's belief about the brand"

### 6-Step Framework for Positioning:

This is a process. Be ready for "what is the first step?" or "which step is not included?"

1. What position do you **currently own**?<sup>31</sup>
2. What position do you **want to own**?<sup>32</sup>
3. **Whom** do you have to **defeat**?<sup>33</sup>
4. Do you have the **resources**?<sup>34</sup>
5. Can you **persist**?<sup>35</sup>
6. Are your **tactics supporting** the objective?<sup>36</sup>

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## ✨ 5. Differentiation

### Definition:

- Differentiation is the process of **distinguishing your product/service from others** to make it more attractive to your target market<sup>37</sup>.
- The whiteboard note (Page 26) provides a powerful, simple definition: "**Pain Point or solution which no other Brand is Targeting.**"

The 5 Types of Differentiation:

This is another key list. Know these 5 types.

1. **Product Differentiation:** Based on the physical product, its features, or performance<sup>38</sup>. (e.g., Chipotle's "Our ingredients are better" - Page 16).
2. **Service Differentiation:** Based on customer service, delivery, or support<sup>39</sup>. (Page 17).
3. **Channel Differentiation:** Based on the way you make the product available (e.g., unique store design, efficient online platform)<sup>40</sup>. (Page 18).
4. **People Differentiation:** Based on hiring and training better employees than competitors<sup>41</sup>. (e.g., Pakistan International Airlines logo - Page 19).
5. **Image Differentiation:** Based on creating a distinct brand identity and "feel"<sup>42</sup>. (e.g., Timex ad "Know the time without seeing... 1,249 unanswered emails" - Page 20).

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## 1. Segmentation

This is the process of **dividing** a large, broad market into smaller, specific groups. You group people based on shared characteristics, like age, location, interests, or problems.

## 2. Targeting

This is the process of **choosing** which one (or more) of those groups you will focus all your efforts on. This becomes your "target market."

## 3. Differentiation

This is *how* you are **different and better** than your competitors for that specific target group. It's the unique value or feature that makes you stand out.

## 4. Positioning

This is the **image or identity** you create in your target customer's mind. It's the "space" you want to own in their brain, so when they think of a problem, they think of you as the solution.

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### The Flow (How they work together)

The flow is a logical, step-by-step process for finding your customer and winning them over:

1. **Segmentation (See):** You *see* the entire map and divide it into different neighborhoods (groups).
2. **Targeting (Choose):** You *choose* the one neighborhood you want to focus on.
3. **Differentiation (Plan):** You *plan why* your house (product) will be the best one in that neighborhood (e.g., "it has a pool").
4. **Positioning (Build):** You *build* your reputation as "the house with the pool," so everyone in that neighborhood knows it's your unique identity.